25VECV01571 25VECV01571

County: los-angeles

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Case Number: 25VECV01571 Hearing Date: July 9, 2026 Dept: U

SUPERIOR COURT OF

THE STATE OF CALIFORNIA

FOR THE COUNTY OF

LOS ANGELES - NORTHWEST DISTRICT

STEPHEN KASSIN;

and SHAY FAIRCHILD,

Plaintiffs,

vs.

STATE FARM INSURANCE COMPANIES; and DOES

1-50, inclusive,

Defendants.

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CASE NO: 25VECV01571

[TENTATIVE] RULING RE: DEFENDANT'S MOTION FOR SUMMARY JUDGMENT OR, ALTERNATIVELY, FOR SUMMARY ADJUDICATION OF ISSUES IN PLAINTIFFS' COMPLAINT

Dept. U

8:30 a.m.

July 9, 2026

I.
BACKGROUND

This case arises from an alleged bad faith denial of an insurance claim by Defendant State Farm General Insurance Company as to a claim filed by Plaintiffs Stephen Kassin and Shay Fairchild.

On March 20, 2025, Plaintiffs filed their complaint against "State Farm Insurance Companies," alleging: (1) breach of contract; and (2) tortious breach of the implied covenant of good faith and fair dealing.

On April 17, 2025, Plaintiffs filed their form amendment, naming Defendant “State Farm General Insurance Company” as DOE #1.

On May 2, 2025, Defendant filed its answer to the complaint.

On April 14, 2026, Defendant filed its motion for summary judgment or, alternatively, for summary adjudication of the following issues in the complaint:

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Issue #1: Defendant is entitled to summary judgment because Plaintiffs cannot establish an entitlement to benefits due under the contract.

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Issue #2: Defendant is entitled to summary adjudication of Plaintiffs’ cause of action for breach of the implied covenant of good faith and fair dealing because Defendant’s denial was reasonable.

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Issue #3: Defendant is entitled to summary adjudication of Plaintiffs’ claim for punitive damages because there is no evidence that Defendant acted with oppression, fraud, or malice.

On June 24, 2026, Plaintiffs filed their opposition brief.

On June 29, 2026, the Court granted Plaintiffs’ ex parte application for an order accepting their late-filed opposition brief.

On July 2, 2026, Defendant filed its reply brief.

Also on July 2, 2026, Plaintiffs filed a supplemental attorney declaration in support of their opposition to the motion.

II.
LEGAL STANDARD

The purpose of a motion for summary judgment “is to provide courts with a mechanism to cut through the parties’ pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute.”¿ Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843; Code Civ. Proc., § 437c (c).¿ “[Section 437c] requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.”¿ Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.

A defendant moving for summary judgment meets its initial burden by showing that one or more elements of the plaintiff’s cause of action cannot be established.¿ Code Civ. Proc, § 437c (p)(2).¿ The burden then shifts to the responding party to prove the existence of a material fact issue as to the defendant’s defense against its causes of action.¿ Avivi v. Centro Medico Urgente Med. Ctr. (2008) 159 Cal.App.4th 463, 467.¿ If the responding party cannot refute the movant’s defense, summary judgment should be granted.¿ Ibid.

III.
OBJECTIONS TO EVIDENCE

Plaintiffs object to evidence submitted by Defendant in support of its motion. For purposes of the instant motion for summary judgment, Plaintiffs’ objections are overruled. See Reid v. Google, Inc. (2010) 50 Cal.4th 512, 531-533 (written evidentiary objections made before hearing avoid waiver regardless of trial court determination as to admissibility of evidence subject to said objections).

IV.
DISCUSSION

Defendant moves for summary judgment or,
alternatively, for summary adjudication of the following issues in the
complaint:

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Issue
#1: Defendant is
entitled to summary judgment because Plaintiffs cannot establish an entitlement
to benefits due under the contract.

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Issue
#2: Defendant is
entitled to summary adjudication of Plaintiffs' cause of action for breach of
the implied covenant of good faith and fair dealing because Defendant's denial
was reasonable.

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Issue
#3: Defendant is
entitled to summary adjudication of Plaintiffs' claim for punitive damages
because there is no evidence that Defendant acted with oppression, fraud, or
malice.

The motion for summary judgment is denied. The motion for summary adjudication is denied
as to Issue #1. The motion for summary
adjudication is granted as to Issues #2 and 3.

a.
Summary of Allegations in the Complaint

Plaintiffs
plead that they own residential property located at 6632 Langdon Ave in Van
Nuys (the "Property"), which has served as their principal residence since
purchase. Plaintiffs plead Defendant is
an insurance company licensed to do business in California. (Complaint, ¶¶ 3-4, 11.)

Plaintiffs
plead Defendant issued Plaintiffs homeowners insurance policy #71-GU-Z733-8
(the "Policy"), which covered the Property against various perils, including

water damage of the type at issue in this action. In exchange, Plaintiffs paid insurance premiums. (Complaint, ¶¶ 8-10.)

Plaintiffs plead that on or about March 8, 2025, the Property sustained significant water damage originating from a water supply line feeding the refrigerator. Plaintiffs plead that they promptly submitted a claim to Defendant, which assigned it claim #75-81N1-82W. Plaintiffs plead Defendant denied their claim, asserting that its investigation showed the loss resulted from continuous or repeated seepage or leakage of water occurring over time. Plaintiffs plead Defendant claimed the loss was attributable to wear, tear, deterioration, corrosion, latent defect, or inadequate workmanship, construction, design, or maintenance affecting the ice maker/water filter inlet, all of which are conditions that the Policy excludes from coverage. (Complaint, ¶¶ 12-14.)

Plaintiffs plead Defendant breached the Policy by unreasonably refusing to pay and withholding benefits, despite Plaintiffs having performed all their obligations under the Policy. Plaintiffs plead they suffered damages as a result. (Complaint, ¶¶ 16-21.)

Plaintiffs plead Defendant is engaged in a pattern of bad-faith claims-handling conduct. Specific allegations include: failing to timely and fully pay the claim; refusing payment in bad faith to coerce Plaintiffs into accepting less than fair value; failing to attempt a prompt, fair, and equitable settlement once liability was reasonably clear; failing to thoroughly or objectively investigate the claim; handling the claim in a dilatory manner; compelling Plaintiffs to litigate to obtain benefits owed; misrepresenting pertinent facts and policy provisions; failing to follow rules promulgated by the Insurance Commissioner; and interpreting the Policy in an unduly restrictive manner. (Complaint, ¶¶ 22-28.)

Plaintiffs plead Defendant's conduct reflects its broader scheme and pattern of practice to reduce payments on legitimate claims, thus constituting an unfair and unlawful business practice. Plaintiffs plead Defendant's conduct was undertaken or ratified by Defendant's officers or managing agents with conscious disregard of Plaintiffs' rights. Plaintiffs plead such conduct rises to the level of oppression, fraud, or malice. (Complaint, ¶¶ 29-31.)

b. Review of Defendant's Submitted Evidence

The Court has reviewed and considered the following evidence submitted by Defendant in support of its motion:

- The declaration of Heather McKeon, counsel for Defendant;
- The declaration of Chas Mazza, Defendant's Claim Team Manager;
- A copy of the Policy (Exh. A);
- Copies of relevant claim file notes (Exh. B);
- Copies of Plaintiffs' photos of buckled floorboards (Exh. C);
- A copy of a plumber report (Exh. D); and
- Copies of Defendant's inspection photos dated March 17, 2025 (Exh. E).

Defendant's submitted evidence shows that it issued the Policy to Plaintiffs, effective February 6, 2025, to February 6, 2026. The Policy covers accidental direct physical loss to the Property unless excluded. The Policy excludes losses caused by wear, tear, decay, deterioration, or wet or dry rot; by seepage or leakage of water that occurs or develops over time (continuously, repeatedly, gradually, intermittently, slowly, or by trickling) from a household appliance or plumbing system; and by fungus, including remediation costs. (SUMF #1-2.)

On March 8, 2025, Plaintiffs returned home after being away for a couple of days and noticed water on the floor. Plaintiffs filed a claim with Defendant that same day. Plaintiffs shut off the water and contacted a plumber and a water mitigation company, reporting that the continuous wood flooring in the kitchen, dining room, and hallway was warped and swollen in some areas. (SUMF #3-4.)

On March 12, 2025, Defendant received photos from Plaintiffs showing buckling of the kitchen wood floor, dark water stains, and close-ups of removed floorboards revealing deterioration and apparent rot. That same day, Defendant also received a plumber's report identifying a leak from the ice maker/water filter inlet to the refrigerator. (SUMF #5-6.)

On March 13, 2025, Defendant spoke with Plaintiffs' plumber, Raymond of Ray Texas Rooter, who confirmed the icemaker was leaking. On March 17, 2025, Defendant inspected the Property and observed heavy floor buckling in several areas of the kitchen, floor warping, and water stain damage extending underneath the island and cabinets; upon pulling out the refrigerator, it found heavy water damage, rot, and buckled flooring, as well as warping and wave-like water damage in the living/dining room, and moisture detected in the drywall by water mitigation, all of which it photographed. (SUMF #7-8.)

On March 19, 2025, Defendant determined the loss was not covered because the discoloration of the wood beneath the refrigerator and the floor buckling indicated the water intrusion was not a one-time leak but one that occurred or developed over time. Defendant sent Plaintiffs a denial letter that same day. (SUMF #9.)

c. Review of Plaintiffs' Submitted Evidence

The Court has reviewed and considered the following evidence submitted by Plaintiffs in opposition to the motion:

· The
declaration of John Jahrmarkt, counsel for Plaintiffs;

· The
declaration of Plaintiff Shay Fairchild;

· The
declaration of Plaintiff Stephen Kassin;

· The
declaration of professional engineer Daniel Robles;

· The
declaration of licensed plumber Elian Saado;

· The
declaration of Scott Schneider, owner and operator of Olde Tyme Floor, and attached photographs;

· Copies
of relevant Policy provisions (Exh. A);

· Copies
of Defendant's Claim File Notes (Exh. B);

· A
copy of Defendant's Coverage Denial Letter dated March 19, 2025 (Exh. C);

· A
copy of a Ray Texas Rooter & Plumbing Invoice (Exh. D);

· Excerpts
from the deposition of Danny Caldera (Exh. E);

· Excerpts
from the deposition of Chas Mazza (Exh. F);

· Copies
of pre-incident photographs of the Property (Exh. G);

· Copies of text messages between Ray Texas Rooter and Mr. Jahrmarkt (Suppl., Exh. A); and

· Supplemental excerpts from the deposition of Chas Mazza (Suppl. Exh. B).

Plaintiffs' submitted evidence shows that they dispute Defendant's characterization of the loss as an "ice-maker leak." Plaintiffs note that the plumber, Raymond of Ray Texas Rooter, reported directly to Defendant that "the leak was coming from the supply line to the fridge" and that water was seen "spraying out," while a separate notation stated the ice maker was "also" leaking. Plaintiffs cite the fact that Defendant's own claim notes and denial letter never disclosed the supply-line leak or the "spraying" water, and instead repeatedly characterized the loss solely as an icemaker leak. Plaintiffs' engineering and plumbing experts opine that a pressurized supply-line failure is materially different from an intermittent icemaker leak, capable of releasing substantial water quickly, and consistent with the widespread flooring damage found throughout the residence rather than gradual seepage. (Responsive SUMF #2-9.)

Plaintiffs also dispute the timeline, asserting they left the Property on March 2, 2025, and were away roughly six (6) days (i.e., not "a couple of days") before Shay Fairchild returned on March 8, 2025, and discovered the damage. Plaintiffs further dispute that the photographed rot, deterioration, and staining existed throughout the Property. Plaintiffs cite deposition testimony from Danny Caldera and Chas Mazza, Defendant's own witnesses, who confirmed that rot, deterioration, and heavy water staining were observed only behind and underneath the refrigerator, that Mr. Mazza did not know whether the condition was rot, and that no testing was ever performed to confirm it. Mr. Caldera also testified that Defendant's coverage determination was based solely on what was observed behind the refrigerator. Plaintiffs dispute that the March 12, 2025 document received from the plumber was a "report," noting both Mr. Mazza's and Mr. Caldera's testimony identifying it as merely an invoice. (Responsive SUMF #3-9.)

Plaintiffs

assert the Policy affirmatively covers abrupt and accidental discharge or overflow of water from a plumbing system or household appliance. Defendant's claim file reflected two distinct reported water sources, the refrigerator supply-line leak and a separate icemaker leak. Yet Defendant never analyzed, compared, or apportioned damage between the two, never determined how long either leak existed, never determined which leak predominated, and never determined which leak caused which portions of the damage, as admitted by both Mr. Caldera and Mr. Mazza in their depositions.
Plaintiffs' expert opines, to a reasonable degree of engineering certainty, that the supply-line failure is the most likely source of the widespread damage. (New SUMF #1-14.)

Plaintiffs
assert that before leaving for their trip, they observed no buckling, warping, or deformation of the flooring, but upon returning approximately six (6) days later found substantial deformation throughout the residence, including damage severe enough to prevent normal use of the refrigerator door. Plaintiffs' experts opine this widespread deformation is consistent with a sudden, substantial water release occurring during Plaintiffs' absence and that such damage can develop in less than four (4) days after exposure to a significant volume of water. (New SUMF #15-28.)

Plaintiffs
identify two materially different damage patterns: localized staining/rot behind the refrigerator and widespread buckling elsewhere. Plaintiffs say this indicates materially different underlying water-exposure conditions.
Plaintiffs contend the localized conditions do not establish that the widespread damage resulted from excluded gradual seepage. Finally, Plaintiffs assert Defendant denied the claim without ever determining whether the widespread damage was caused by the supply-line leak. Plaintiffs cite that Mr. Mazza testified he would have included the supply-line leak in the denial letter had he redrafted it, agreeing this would have provided greater clarity. (New SUMF #15-28.)

d.
Defendant's evidence is insufficient to show the source of the loss beyond a triable fact issue.

Defendant moves for summary judgment or, alternatively, for summary adjudication of the following issue in the complaint:

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Issue
#1: Defendant is
entitled to summary judgment because Plaintiffs cannot establish an entitlement to benefits due under the contract.

The
necessary elements for breach of contract are: (1) a valid contract; (2) a plaintiff’s full performance of its obligations under the contract; (3) a defendant’s breach of the contract; and (4) resultant damages.¿ Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.

Here,
Defendant’s submitted evidence shows the Policy insured “for accidental direct physical loss” but not for “any loss that is caused by […] [w]ater, meaning: […] seepage or leakage of water, steam, or sewage that occurs or develops over a period of time: (a) and is: (i) continuous; (ii) repeating; (iii) gradual; (iv) intermittent; (v) slow; or (vi) trickling; and from a: (i) heating, air conditioning, or automatic fire protective sprinkler system; (ii) household appliance; or (iii) plumbing system, including from, within or around any shower stall, shower bath, tub installation, or other plumbing fixture, including their walls, ceilings, or floors. We also will not pay for losses arising from condensation or the presence of humidity, moisture, or vapor that occurs or develops over a period of time.”
(See SUMF #2.)

Defendant
cites evidence supporting its position that the water damage was caused by wear, tear, deterioration, and a continuous or repeated leakage of seepage of water and was thus not covered under the Policy. Such evidence includes photographs showing removed buckled floorboards revealing deterioration and what appears to be rot. Defendant reasons that such rot is
demonstrative of long-term water exposure from a repeated or continuous leak rather than a one-time water burst.
Defendant asserts this conclusion as to the cause of loss is supported by Defendant’s observation at its in-person inspection of the Property, as well as by Plaintiffs’ plumber’s written report, which stated that there was a leak coming from the ice maker/water filter inlet to the refrigerator. (See SUMF #3-9.)

In

support of their sudden burst theory, Plaintiffs present evidence that their initial plumber's report noted that "water was spraying out" in addition to the leaky ice maker, which at least one plumber characterizes as "consistent with a leak that started with sudden failure or rupture of a pressurized water supply line." (Saado decl., ¶¶ 4-5; see Robles decl., ¶ 6.) Plaintiffs also present testimony from a professional engineer stating, "Even if the localized conditions beneath the refrigerator reflect moisture exposure in that limited area, those conditions do not establish that the widespread flooring damage throughout the remainder of the residence resulted from continuous, repeated, gradual, intermittent, slow, or trickling leakage." (Robles decl., ¶ 12.)

Plaintiffs' submitted evidence is sufficient to at least raise a triable fact issue as to whether the flooring damage at the Property was caused by chronic leakage or by a sudden, pressurized burst. While Defendant presents evidence that floor exhibits rot and other signs of long-term water damage, even the initial plumber's report documents that water was, in fact, spraying out of a burst line when the issue was discovered. This supports Plaintiffs' theory of the case.

Plaintiffs assert that before leaving for their trip, they observed no buckling, warping, or deformation of the flooring, but upon returning approximately six (6) days later found substantial deformation throughout the residence, including damage severe enough to prevent normal use of the refrigerator door. Plaintiffs' experts opine this widespread deformation is consistent with a sudden, substantial water release occurring during Plaintiffs' absence and that such damage can develop in less than four (4) days after exposure to a significant volume of water. (See New SUMF #15-28.)

Discrepancies in the submitted evidence must be decided in favor of the party opposing the motion. Defendant presents no evidence showing how or why the facts stated in Plaintiffs' supportive declarations from expert witnesses are necessarily false. In sum, although Defendant's evidence shows a high probability that the water damage and resulting loss is not covered by the Policy, Defendant's evidence is insufficient to show the loss is not covered beyond a triable fact issue. The motion for summary adjudication is denied as to Issue #1 because Defendant's evidence is insufficient to definitively show the source of the loss. Accordingly, the motion for summary judgment is denied.

e.
Defendant’s denial of Plaintiffs’ claim was reasonable.

Defendant moves for summary adjudication of the following issue in the complaint:

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Issue #2: Defendant is entitled to summary adjudication of Plaintiffs’ cause of action for breach of the implied covenant of good faith and fair dealing because Defendant’s denial was reasonable.

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Issue #3: Defendant is entitled to summary adjudication of Plaintiffs’ claim for punitive damages because there is no evidence that Defendant acted with oppression, fraud, or malice.

The necessary elements for breach of the implied obligation of good faith and fair dealing are: (1) the existence of contractual relationship; (2) an implied duty; (3) breach; and (4) causation of the plaintiff’s damages. Smith v. San Francisco (1990) 225 Cal.App.3d 38, 49; see also Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151 (“Where benefits are withheld for proper cause, there is no breach of the implied covenant”).

Because of the special relationship between an insured and insurer, where an insurance company acts in bad faith and the misconduct is egregious, punitive damages are available. Neal v. Farmers Ins. Exchange (1978) 21 Cal.3d 910, 922-923. The same acts which support a plaintiff's bad faith denial claim can also be the basis for punitive damages, if they rise to the level of malice, fraud, and/or oppression. Fleming v. Safeco Ins. Co. (1984) 160 Cal.App.3d 31, 44 (Fleming) (“bad faith does not necessarily indicate the presence of malice, oppression, or fraud").

The ultimate test of bad faith liability "is whether the refusal to pay policy benefits was unreasonable." Opsal v. United Services Auto. Assn. (1991) 2 Cal.App.4th 1197, 1205 (cleaned up; italics in original). "In other words, before an insurer can be found to have acted tortiously, i.e., in bad faith, in refusing to bestow policy benefits, it must have done so without proper cause." Ibid. (cleaned up); see Graciano v. Mercury General Corp. (2014) 231 Cal.App.4th 414, 425 (erroneous denial of claim insufficient to show bad faith denial so long as insurer's conduct was reasonable). To support a bad faith denial claim, an insurer's conduct must demonstrate "a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act." Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1395.

"Under California law, a bad faith claim can be dismissed on summary judgment if the defendant can show that there was a genuine dispute as to coverage." Guebara v. Allstate Ins. Co. (9th Cir. 2001) 237 F.3d 987, 992 (Guebara). "The genuine issue rule in the context of bad faith claims allows a [trial] court to grant summary judgment when it is undisputed or indisputable that the basis for the insurer's denial of benefits was reasonable—for example, where even under the plaintiff's version of the facts there is a genuine issue as to the insurer's liability under California law." Wilson v. 21st Century Ins. Co. (2007) 42 Cal.4th 713, 724. In deciding whether there exists a genuine dispute "the court does not decide which party is 'right' as to the disputed matter, but only that a reasonable and legitimate dispute actually existed." Chateau Chamberay Homeowners Assn. v. Associated Internat. Ins. Co. (2001) 90 Cal.App.4th 335, 348, fn. 7.

Here, Defendant submits several forms of evidence that support its denial of coverage, and which persuasively show the loss was due to a long-term water damage. Such evidence supports Defendant's conclusion that denial was proper. Plaintiffs' own opposition brief concedes that Defendant's claim file reflects a continuous water leak in addition to water spraying out from a pressurized line. In short, all submitted evidence shows Defendant's continuous leak theory is a reasonable (and probably the most likely) explanation for Plaintiffs' claimed loss.

As noted above, Plaintiffs present some evidence in support of their theory that the loss was due to a sudden burst. Even if Plaintiffs are correct that the water loss was due to a sudden burst, there remains a genuine dispute between Plaintiffs and Defendant given the amount of evidence weighing in favor of Defendant's theory of the case. That there is a genuine dispute as to coverage dictates that the motion be granted as to Issue #2. See Guebara, supra, 237 F.3d at p. 992 ("bad faith claim can be dismissed on summary judgment if the defendant can show that there was a genuine dispute as to coverage").

Because there is no triable fact issue as to Plaintiffs' bad faith denial claim, Plaintiffs have no basis for claiming punitive damages. See Fleming, supra, 160 Cal.App.3d at p. 44. Thus, the motion must also be granted as to Issue #3.

The Court notes that Plaintiffs appear to contest neither Issue #2 nor Issue #3 in their opposition brief.

The motion for summary adjudication is granted as to Issues #2 and 3 because there is no genuine dispute that Defendant's denial of Plaintiffs' claim was reasonable.

V. CONCLUSION

The Court DENIES Defendant State Farm General Insurance Company's motion for summary judgment.

The Court DENIES Defendant State Farm General Insurance Company's motion for summary adjudication as to Issue #1 in Plaintiffs Stephen Kassin and Shay Fairchild's Complaint:

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Issue #1: Defendant is entitled to summary judgment because Plaintiffs cannot establish an entitlement to benefits due under the contract.

The
Court GRANTS Defendant State Farm General Insurance Company's motion for summary adjudication as to Issues #2 and 3 in Plaintiffs Stephen Kassin and Shay Fairchild's Complaint:

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Issue #2: Defendant is entitled to summary adjudication of Plaintiffs' cause of action for breach of the implied covenant of good faith and fair dealing because Defendant's denial was reasonable.

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Issue #3: Defendant is entitled to summary adjudication of Plaintiffs' claim for punitive damages because there is no evidence that Defendant acted with oppression, fraud, or malice.

Defendant State Farm General Insurance Company is ORDERED to give notice.

DATED: July 9, 2026

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Lee
Arian

Judge of the
Superior Court